

DISCUSSION OF “PRODUCTIVITY SLOWDOWN AND FIRM EXIT: THE INS AND OUTS OF BANKING CRISES”

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Summary

How do banking crises impact the aggregate productivity dynamics?

- Two margins at play: firm exit + reallocation across survivors
 - Firm exit in the early post-crisis years
 - Dampened productivity growth in the later years
- Provide data evidence using Spanish firm-level data
- A simple model w/ endogenous exit, productivity investment + financial distress
 - Financial friction formalized by an increase in banks' discount factor
 - Replicate the effects on both exit and reallocation margins
- Use regional variations in the concentration of banks to disentangle them
 - Heckman selection model correcting the selection bias in measuring TFP growth
 - Output falls by 3% in total; the exit margin recovers while the intensive margin is more persistent

Comments

OVERVIEW

Interesting paper!

- Brings novel insights to the effect of banking crises through intensive and extensive margins
 - The difference and decomposition of two margins
- Rich datasets enabling to identify the source of funds to firms & the credit shock at the firm level
 - Orbis dataset + Spanish Bank data (Bank of Spain, the European Banking Authority, AEB, and CECA)

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Four comments

- 1 Parsimony of the Model: Missing Differentiated Channel
- 2 Quantification of the Results
- 3 How Should We Consider Firm Entry and Exit?
- 4 Implications for Cleansing vs. Sullyng Effects

PARSIMONY OF THE MODEL: MISSING DIFFERENTIATED CHANNEL

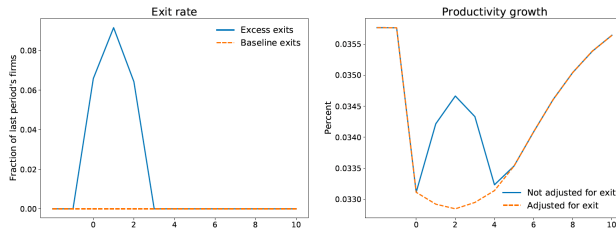
- The model assumes a reduced form of internal cost of funds (R) to account for
 - Increased exit cutoffs → More firm exit
 - Reduced investments in productivity enhancement
 - The key is through the ratio between productivity and discount factor $\frac{\theta}{R}$
 - Any shocks affecting the ratio should yield similar results (e.g., aggregate TFP shocks)
- What do we learn from the channel of R ? What is the mechanism to distinguish itself from other stories? Can putting a structure to R help provide this?
- Some model components and analysis rely on ad-hoc assumptions which require reference (e.g., why endogenous exit happens? why all R&D can succeed? where does the time path of R come from?)

QUANTIFICATION OF THE RESULTS

- Are the results on the aggregate impact an upper bound? “yes”
- The current analysis is abstracting from the effect of
 - Firm exit and productivity-enhancing selection of survivors
 - General equilibrium forces (in/out dynamics of firms, factor prices)
 - Dynamics of firm-bank relationships (bank substitution effects)
- What is more likely to happen in practice?
- How does the impact compare to other types of shocks? (e.g., collateral crises)

HOW SHOULD WE CONSIDER FIRM ENTRY AND EXIT?

Figure 5: Aggregate outcomes during the crisis



- The paper has emphasized the exit margin as a source to “distort” the true loss of banking crises
- How can we distinguish this from the literature abstracting from exit margin?
(e.g., Chodorow-Reich 2014)
- How should we interpret the exit effects discussed in the literature (cleansing effect)?
- How about firm entry?

IMPLICATIONS FOR CLEANSING VS. SULLYING EFFECTS

- There is a large body of literature on cleansing vs. sullyng effects of recessions
 - Cleansing: productivity-enhancing reallocation increases in recessions (Davis and Haltiwanger 1990; Caballero and Hammour 1994; Mortensen and Pissarides 1994, etc.)
 - Sullyng: productivity-enhancing reallocation is attenuated in recessions (Caballero and Hammour 1996, 2005; Barlevy 2003, etc.)
- This paper can give interesting insights to this discourse
 - Mixed effects through the exit (reallocation) margin enhancing (mitigating) productivity
 - Implications can vary depending on the relative magnitudes across different durations : short-term vs medium-term vs long-term
- What are the welfare implications?

Conclusion

CONCLUSION

This paper:

- Banking crises affect aggregate productivity through extensive and intensive margins
- The response of each margin varies in directions and timing
- Correcting the survivorship bias gives 3% of output loss

Review:

- Interesting paper: important question, simple modeling, rich data
- The model components & quantification analysis could be extended and enriched
- More discussion along with other existing literature would help
- Linking to the cleansing vs. sully effects would be a promising direction